

Renewables Platform Performance

Market conditions have shifted since the peak investment cycle, putting pressure on legacy platforms. To improve returns, owners should focus action on capital allocation, overhead, and pipeline discipline.

1 Introduction

The market reset has exposed weaknesses in how renewables platforms allocate capital, structure their cost base, manage development risk and operate assets. These are management choices, and they help explain why outcomes diverge even under the same macro conditions.

Evidence suggests many platforms have been slow to respond. Growth assumptions made between 2020 and 2023 no longer hold, and publicly disclosed impairments now exceed \$19bn. Yet many platforms are still managed as though the impact is temporary or beyond control. The result has been delayed intervention: outlooks trimmed, but cost bases and capital plans left intact.

This paper tests how platforms have adapted across four areas: efficient conversion of development spend; correlation of organisational scale with delivered capacity; proactive management of contracts and operating assets; and reliance on capital recycling to fund the business plan. Inverlock analysed public disclosures from 27 listed developers and 35 private mid-market developers¹, using a purpose-built data pipeline², to compare how platforms have adapted in these areas.

Three findings stand out:

Capital recycling is strained. Disposal proceeds at pure-play large caps are down 69% on average, falling from ~40% of operating cash flow to ~10% since 2021-2023 peaks. Yet CAPEX was not adjusted downwards at more than 80% of the platforms where proceeds collapsed.

Development risks are overlooked. Grid data shows that most queued capacity never gets built; only ~1 in 8 projects reach operation in the US. Yet mid-market developers we tracked cancelled only ~5% of their pipelines, and 13 of 18 have cancelled nothing.

Cost bases are oversized. At 13 of 19 listed developers examined, overhead rose on average 2.1X faster than revenue. Yet the majority have cut growth targets. Around 60% of platforms are building less capacity per unit of overhead than before.

We develop these findings into a practical framework for identifying where intervention creates value. Our conclusions come from implementation, not theory: Inverlock has provided optimisation services across platforms totalling 15GW+ of pipeline and \$700m of EBITDA. We focus on specific solutions for owners to drive more profitable growth, improve funding efficiency, and/or prepare for exit.

¹ 22 listed pure-play platforms (12 large cap, 10 small cap) and 5 O&G renewables arms. See appendix for breakdown

² Methodology involved multi-year financial filings, grid-operator and power-market data and project-level trackers. See Appendix for sources, coverage by metric, definitions and limitations

2 Platform performance: growth without earnings?

Sustaining high returns over the last five years has been challenging. Declining profitability is widespread across the listed panel: 21 of the 24 listed developers with a readable ROCE series most recently booked returns below their past peaks, with those exposed to offshore wind being particularly impacted (Exhibit 1). None of the 6 large-cap platforms disclosing their own cost-of-capital in years 2024-2025 hurdled it³.

The sector targeted growth at all costs: while over half the sample exceeded 10% CAGR in revenue, less than a third of these had adequate returns. Performance across the mid-market is mixed, where scaling does not always translate into accumulated earnings⁴.

While these profitability challenges are most often explained by exogenous market factors (Exhibit 2), the magnitude of their impact can be driven by internal, controllable factors we explore in Section 3.

Exhibit 1 Profitability has dropped across renewables developers and IPPs

14 of 19 listed developers disclosing both variables saw ROCE fall over the period

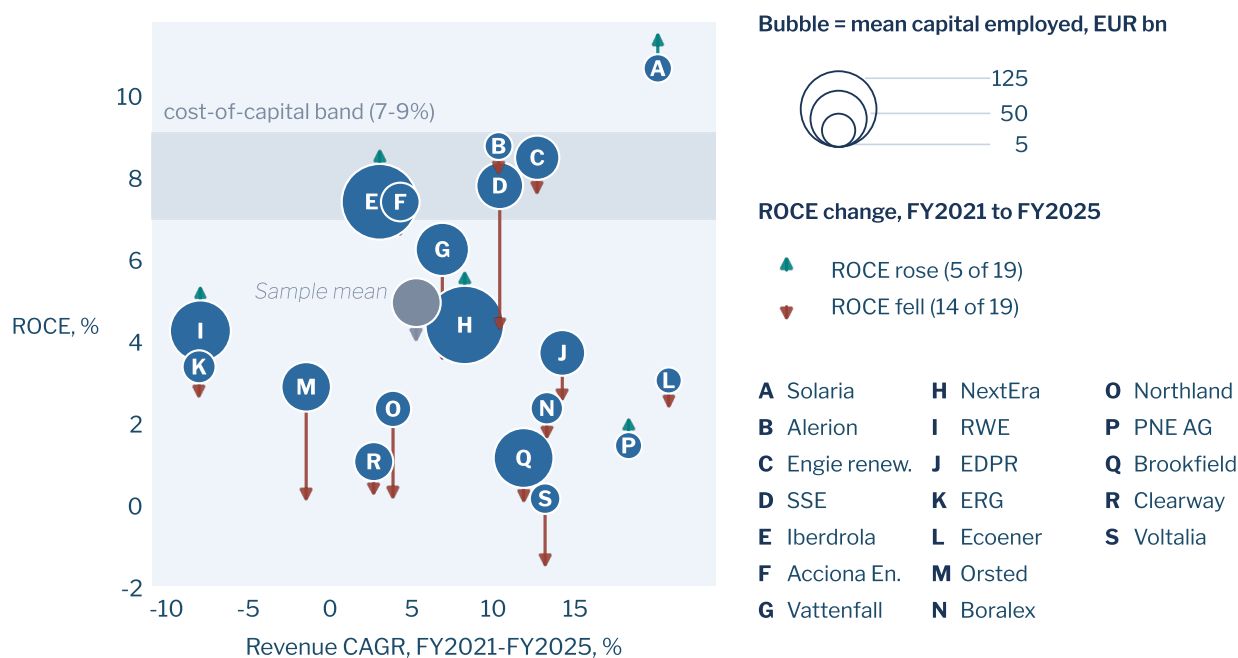


Exhibit 2 Commonly cited headwinds

Structural challenges to profitability faced by development platforms



³ Average spread -3.7%; own hurdle approximated as latest-reported midpoint of pre-tax impairment discount-rate range

⁴ One midmarket solar developer grew revenue eightfold over FY2018-23 to £320m, accumulating losses of £512.5m. A BESS PE-backed developer grew revenue ninefold over FY2021-24, accumulating losses of £79m, increasing in every year observed

3 Hidden internal drivers: causal evidence in the data

The following four factors are controllable yet are often allowed to persist and hinder value creation.

3.1 DEVEX is sunk on too many projects that don't reach FID

Global grid data shows only a fraction of queued projects get built: only one in eight in the US (Exhibit 3). Yet, across 18 mid-market developers with 41.5GW in development, active cancellations were just 5% of pipelines⁵, and 13 had cancelled nothing. A reason could be incentives: of the listed companies with disclosed metrics, twice as many reward capacity growth as return-on-capital⁶.

A consequence has been a sustained trend of write-offs in technologies with high pre-FID CAPEX, amassing ~\$19bn among listed developers (Exhibit 4). Rather than deprioritise projects to preserve funding, platforms burn DEVEX on stranded assets to defend inflated valuations - despite incurring additional breakaway exposure.

3.2 G&A costs increase while build-out falls

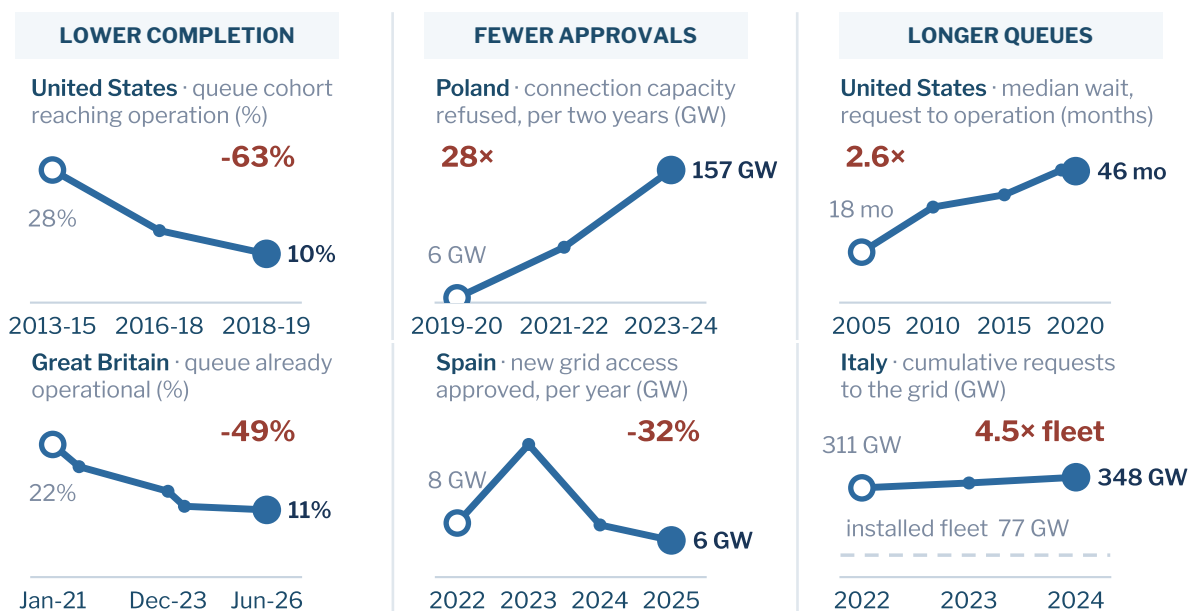
Overhead is growing despite uncertain growth ambitions. Between 2020 and 2025, overhead rose faster than revenue at 13 of 19 companies in the listed sample, by 2.1X on average⁷. More than half of these thirteen withdrew growth targets during the same period, yet only one attempted right-sizing afterwards; the rest continued hiring.

The midmarket is better. In a sample of eleven comparable disclosures, overheads exceeded turnover for at least two years running in five - yet this doesn't necessarily indicate overstaffing. Only 1 of 8 in the sample with employee data triggered two or more right-sizing indicators, compared with 7 of 20 in the listed panel⁸.

As a result, scaling capacity is becoming more expensive. 10 of 17 listed developers delivered less capacity per unit of overhead in later years, with the majority deteriorating consistently⁹.

Exhibit 3 Grid bottlenecks adding development risk

Various grid connection success metrics, by region



LBNL, NESO, URE, REE and Terna data (2005-2026).

⁵ 13% including tracker-inferred dormancy. From third-party project trackers (Global Energy Monitor), matched to disclosures

⁶ Out of the 27 listed developers, 6/23 (26%) include a growth/capacity metric; 3/23 (13%) include a ROCE metric

⁷ Of the 27 listed companies in the sample group, 19 disclose renewables overhead and revenue on a comparable basis

⁸ Samples vary by test to accommodate variance in disclosure; samples of 20 listed, 8 mid-market companies analysed separately

⁹ Large cap (6/9) vs small cap (4/8), where 70% of these fell every consecutive year. In one case, ~€134m of overhead delivered 300MW in 2022 but only 37MW in 2025

3.3 Execution capabilities stem from data and contract management

In operations, industry benchmarks approximate a 15-25% spread in performance across portfolios¹⁰. This spread is not materially affected by O&M model choices or market factors but is driven by internal capabilities across three areas: day-to-day O&M execution, downtime events, and enforcing performance guarantees. Similar principles apply during construction: scope interface management, schedule monitoring, and variation orders and claims.

Common aggravating factors in these areas are poor contract and data management. In siloed project organisations, packages are often negotiated without the managers who later oversee them. After signature, accountability disperses: cost increases often go unchallenged by controllers, and variation orders are paid without being traced back to the underlying contract.

Execution data is fragmented across spreadsheets and OEM portals and is rarely quantified at the shareholder level. Across our 27-company

listed panel, only seven platforms report any historical availability metric, and no two use a comparable definition. This absence of public data may indicate a problem beyond a reporting issue. For owners, this can manifest as unproductive time at site, missed preventative maintenance, and weak contractual positions.

3.4 Disposal proceeds fall short

Many investors underwrote asset valuations at peak exit multiples the market no longer supports, with funding plans heavily reliant on farm-downs.

The old model of divesting at a premium to low-cost-of-capital institutions fails in a market oversupplied with ready-to-build assets. Compressed development premiums and forced sales mean many disposals occur below target returns.

Disposal proceeds are down from 40% of operating cash flow in 2021 to 10% two years later, yet CAPEX commitments have increased (Exhibit 5). Business plans and capital planning now struggle to generate returns from divestments to fund future growth.

Exhibit 4 Unpriced development risk remains

~\$19bn of impairments relating to renewables projects over the past 3 years, by technology

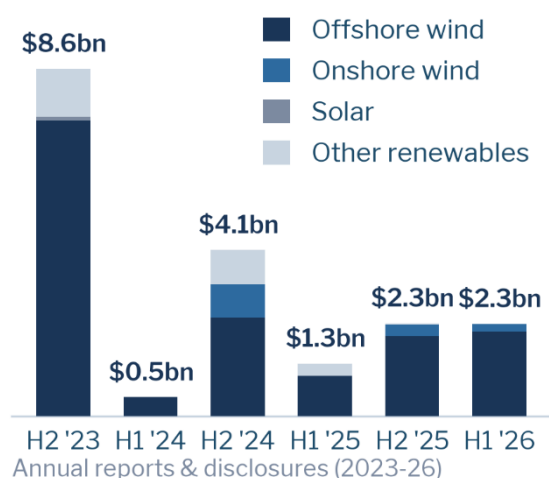
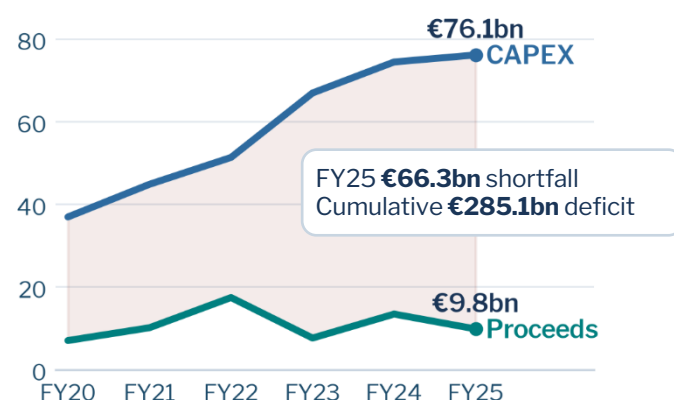


Exhibit 5 Disposals dropped, CAPEX rose

Aggregate annual funding shortfall has widened by 122% at 12 Large-cap pure-play developers



Company filings FY2020–25; EUR at ECB annual FX.
CAPEX and proceeds are company-wide

¹⁰ Benchmarks from Inverlock projects and a McKinsey tool covering EU and North America (60GW+ onshore wind, 50GW+ solar)

4 Proven interventions

This section addresses five questions owners often ask concerning how to identify and measure under-performance, and how to intervene.

4.1 Development pipeline efficiency: How much value is this really creating?

Owners will often receive positive updates on pipeline growth, expressed in gross GWs, without accompanying recommendations to improve the probability-adjusted NPV.

- **Fundability:** Named project capacity should be sized to available equity and realistic external financing, with the unfunded share kept within the platform's M&A bandwidth. 3GW near FID is a problem if the balance sheet can only build 500MW a year and the team can only sell 500MW – the other 2GW is stranded.
- **DEVEX conversion:** Benchmark DEVEX profiles across regions and asset classes. Near-FID capacity as a share of total pipeline should be stable or rising, not falling. Measure ROCE not just in internal business cases, but at divestment - NPV retained at sale against historic spend.
- **Efficiency Actions:** Set phase gates well before FID, so DEVEX isn't spent on failing projects. Re-base the pipeline to what is fundable and grid-secured, and exit the rest; buyers are currently paying premiums for mature queue positions. Incentivise ROCE, not gross GW added, to discourage speculative optionality. Link the pipeline dashboard to treasury, so funding coverage is tested continuously rather than annually.

CASE STUDY

Resetting a 5GW offshore pipeline | Management recommended a ~\$30m annual DEVEX budget to preserve optionality across permits, interconnection and site exclusivity options. An independent route-to-market assessment showed much of the pipeline would never meet FID economics or was not viable. DEVEX was subsequently cut by ~80% to \$5–6m a year.

4.2 Organisational efficiency: Is the platform well designed for buildout and business model?

Owners should ensure the platform cost base reflects the growth it can predictably fund, not unchecked ambition. Checks are needed to ensure Group structure complements the business model:

- **Annual value creation:** A quick illustration of how an organisation creates value can be measured by comparing (i) the annual NPV of FID projects and pipeline MW against (ii) annual G&A plus remaining DEVEX not allocated to projects. A rising ratio may signal a need to right-size.
- **Capability fit:** In-house resources should serve the forward-looking business model, not legacy targets. For example, only a developer incurring meaningful construction risk should invest heavily in proprietary EPC capability, which should then be adjusted as the pipeline evolves.
- **Capacity sizing:** Hiring should mirror the fundable pipeline. EPC teams scale with project count, so are better sized on CODs per year, not MW. Development teams should be sized on MW progressed through stage gates not gross MW originated¹¹.

¹¹ Development and M&A targets should account for one another: regular review of cost per MW developed organically versus acquired should inform the ratio between the two, increasingly so as IPPs scale

- **Procurement scale:** Platform-level procurement should use framework agreements that capture scale, ensure availability, and enable efficient claims management.

Transitioning a developer into an IPP requires deliberate action. Owners should apply centralised overheads carefully and project costs should scale with the benefit received. IT systems and service charges should track revenue. Larger IPPs should consider acquiring from agile developers to cut internal costs, add funding flexibility, and better align capacity.

CASE STUDY

Platform value accretion | Strong projects were not translating into strong platform value. Analysis compared the value created each year (NPV taken through FID, adjusted for realised farm-down prices) with what the platform cost to run (G&A plus unallocated DEVEX), and revealed that the platform was sized to develop twice what it could fund, and every farm-down into a buyer's market surrendered NPV. The owner was effectively paying to grow.

4.3 Managing construction risk exposure: Are we taking on too much unpriced risk?

Owners are typically shown the construction risks that are easiest to quantify. Supply-chain exposure is often expressed as a headline inflation percentage, rather than focusing on the factors that really drive value: procurement decisions, supplier behaviour, and schedule delays. Capital committed pre-FID to secure long-lead components and grid positions is often folded into DEVEX, when its risk profile is entirely different and should be tracked separately.

Three tests measure whether the platform is carrying unpriced downside:

- **Contract exposure:** To gauge contract-management capability, consolidate variation orders and claims across the portfolio and compare them with initial contract values. A well-run platform shows a consistent, explicable claims profile.
- **Pre-FID CAPEX:** Breakaway and cancellation costs should be maintained on a live basis and include downside cases, so the realised cost of an adverse event is known in advance.
- **Downside protection:** The marginal value of advanced procurement and bespoke engineering should be weighed against its impact on breakaway exposure and value outside the project. A bespoke design that cannot be reused or sold is a sunk position.

Recommended actions across the project lifecycle include monitoring advanced procurement, so committed spend never exceeds affordable buildout. Data logging requirements should be agreed with suppliers upfront, and framework agreements should standardise how variations and claims are recorded. Reporting architecture should be built backwards from the decisions the owner needs to make, then automated and stripped of non-essential detail.

CASE STUDY

Supplier negotiation | On a delayed offshore construction project, a dispute with the turbine OEM focused on successive variations and claims. A review found that the supplier's financial demands lacked the evidence required under the contract. Payment was withheld, substantiation demanded, and settlement agreed for a much lower amount.

4.4 Operating cash not reaching investors

Operating assets frequently fail to deliver their modelled cash yields. Management reporting tends to highlight headline generation while burying the true drivers of underperformance, leaving sponsors without a clear explanation - or a fix.

To gauge asset management effectiveness, owners should benchmark availability against the OEM warranty threshold and against peer assets of the same platform and vintage. Persistent gaps not being actively closed point to a passive team, not a market issue.

To measure OEM performance, owners should track availability against warranty thresholds and monitor LD exposure. Where LD caps have been breached, the platform carries the loss unless management pursues recovery.

Actions include: (1) incentivise asset managers on generation and cash yield, not on headcount or safety metrics alone; (2) renegotiate with or replace underperforming OEM providers rather than accepting the shortfall; and (3) for assets unlikely to recover under the current owner (late-life wind, positions in cannibalised capture-price markets, off-strategy projects) run a value-creation plan before selling. Selling as-is simply crystallises the low valuation.

CASE STUDY

Non-contractual solutions | In a >3GW operating fleet, availability had fallen as low as 70% and performance guarantee LD caps were exhausted. The solution was cross-functional: a new turbine procurement award (carrying tax equity and vendor-financing economics) was made conditional on restoring fleet performance.

4.5 Financing & Capital planning: Can equity calls be less unpredictable?

Growing developers and newly formed IPPs face acute funding requirements and increasingly frequent capital calls. When liquidity tightens, misaligned platforms tend to absorb operating cash at the corporate core to cover shortfalls. In a well-run platform, cash allocation follows a strict, pre-agreed plan rather than being swept up in corporate panic.

To assess the viability of a capital plan, owners should apply the following tests and benchmarks:

- **CAPEX reality check:** Compare the development budget against a bottom-up forecast of pipeline CAPEX using current regional \$/MW multiples, not legacy assumptions.
- **Liquidity stress test:** Run a forward liquidity test using current buyers' market discounts on planned asset recycling and apply the same haircut to the remaining pipeline. This reveals exactly where the platform is structurally reliant on disposal proceeds that can't be realised.
- **Capital recycling efficiency:** Measure the NPV delta between holding an asset and selling it. Forfeiting NPV on a disposal should be exceptional. If the platform is losing NPV, it is actively destroying value to pay for growth.
- **The cash yield benchmark:** For platforms designed to return cash, track the net cash distributed to equity investors divided by total invested equity. ~5% is a standard baseline target, but any lower yield must be explicitly justified by a defined pipeline reinvestment strategy.

Actions include ring-fencing operating cash against a pre-agreed capital plan, so yield meant for distribution is never reactively absorbed by the platform. Platforms must also maintain sufficient capital headroom to execute asset recycling at deliberate, strategic points in the lifecycle. Relying on forced, distressed sales to solve short-term liquidity crises destroys NPV and destabilises the entire funding model.

5 What next for owners: restructure, grow or sell?

Owners undertake this recalibration not just to stop cash leakage, but to clarify the platform's future and unlock specific ownership options. Getting the business back to a disciplined baseline allows investors to choose between three clear directions:

- **Restructure and hold:** Right-size overhead to match the pipeline, pivoting from a cash-burning developer into one that is more efficient and lean.
- **Recapitalise for growth:** Clean up capital allocation and pipeline discipline to prove underlying value, preparing the business to bring in a major co-investor or debt to fund growth.
- **Sell the platform as a whole:** Recognise that the platform's scale outstrips the current owner's capital appetite, and package it for a strategic buyer.

Restructuring for efficiency isn't automatically right, especially where owners have limited appetite to fund the forward pipeline. Many platforms, while inefficient for their current owners, still hold the scale, capability, and pipeline quality a well-capitalised third party would pay a premium for. Before a transformation that could destroy that premium, investors should ask: is the platform worth more sold whole to a buyer who can use its scale, or restructured and held as a smaller, yield-focused business?

Exhibit 6 Summary

What investors see	Underlying cause	Action
Costs rising while build-out falls	Cost base sized for a pipeline the platform can no longer fund or convert	Right-size the cost base to the funded, deliverable pipeline
DEVEX continually sunk and written off	Development risk poorly priced	Tighten phase-gate discipline and pipeline reviews
Operating cash isn't reaching investors	Cash absorbed by overhead (incl. parent affiliates) and aborted DEVEX	Fund development against a stress-tested, market-based plan
Operational assets under-performing	OEM performance issues; capture price cannibalisation	Proactive asset management, including supplier engagement
Disposal proceeds below expectation	Underwriting at peak multiples; forced timing; RtB glut	Use current market multiples; hold capital headroom to avoid forced sales

6 Appendix

6.1 Data and Method

Sample Group	n	Basis
Large-cap listed developers & utilities ($\geq$ €10bn capital employed)	12	NextEra Energy, Iberdrola, Engie, RWE, Brookfield Renewable Partners, EnBW, Vattenfall, Orsted, SSE, EDP Renewables, Clearway Energy, Acciona Energia
Small-cap listed developers (<€10bn capital employed)	10	Northland Power, Innergex, ERG, Boralex, Voltalia, Solaria, Alerion, PNE AG, Ecoener, ABO Energy
Renewables arms of O&G majors	5	TotalEnergies, Eni Plenitude, Equinor, Repsol, BP
Listed total	27	
Private mid-market Developers	35	BayWa r.e., Better Energy, Brockwell Energy, Bruc, Bute Energy, Capital Energy, Cubico Sustainable, ECU Energy, Elgin Energy, Encavis, ENSO Energy, Energiequelle, Eolia Renovables, European Energy, Eurowind Energy, Forestalia, FRV, juwi, Lightsource bp, Matrix, Nadara, Neoen, Opdenenergy, OX2 AB, Sonnedix, Statera Energy, Univergy, VSB Group, X-Elio, Zelestra, Zenobe Energy, Deep Wind Offshore, Exagen Group, Skyborn Renewables offshore solutions, Zestec Asset Management

Scope: Europe and UK focused, select US. Companies must have an active renewables business at the end of analysis period.

Core time period: 2020–2025

Method: Data extraction utilised AI agents to parse filings against a fixed schema, tagging extracted figures with its source document, page location from the underlying disclosure. Interpretation and judgement remained with Inverlock's operators, and figures in claims were reconciled with original text.

Full dataset and definitions available from Inverlock on request.

6.2 Sources

Financial & Corporate Disclosures: Audited, machine-readable financial filings (US SEC/EDGAR, EU iXBRL, UK Companies House, and regional European registries) alongside comprehensive 2018–2026 corporate reporting, investor databooks, remuneration reports, and earnings transcripts.

Grid & Power Market Data: Interconnection queues, including US LBNL datasets and GB NESO TEC register, alongside broad European TSO data. Accompanied by day-ahead pricing and solar capture metrics from ENTSO-E, OMIE, and Fraunhofer ISE.

Project & Regulatory Tracking: Asset-level pipeline databases (Global Energy Monitor, UK REPD) combined with regional permitting and grid-access registries (e.g., Spanish BOE, MITECO, URE, REE and CNMC).